



Academic Year 2025-2026

FINANCIAL MARKETS AND INSTITUTIONS

Prof. Francesco Bripi

OVERVIEW

The objective of this course is to provide students with a general understanding of the functions performed by financial markets and institutions and their role in the economic system. We start by offering an overview of the functions of the financial system and its connections to the real economy. We then study in detail the functioning of financial markets and the main financial instruments traded there. Finally, we will study the workings of different types of financial institutions.

COURSE MATERIAL

1. F.S. Mishkin and S.G. Eakins, "Financial Markets & Institutions", Pearson Education, Ninth Edition.
2. Lecture notes and other materials will be available on **Blackboard**

GRADING

There will be only a general exam (based on the material covered during the whole course).

HOME ASSIGNMENTS

There will be four problem sets. These are not graded but are meant to help you follow the material of the course. They will be posted online by 23:00 on four Fridays written below. Correct answers will be posted. The home assignments and their solutions will also be posted in Blackboard.

OFFICE HOURS

On appointment, write to: francesco.bripi@unibocconi.it

Course Outline

Session	Topic	Textbook chapters
PART 1: FINANCIAL MARKETS		
1.	Overview of the Financial System	Ch. 2
2.	The Determinants of Interest Rates	Ch. 4
3.	Interest Rates and Valuation	Ch. 3
4.	The Money Markets	Ch. 11
5.	The Money Markets / The Bond Market	Ch. 11 and 12
6.	The Bond Market	Ch. 12
Online Test 1 posted by 23:00* on Friday, September 26th, 2025 (topics 1-6)		
7.	The Stock Market	Ch. 13
8.	Valuation of Stock	Ch. 13
9.	Derivatives: Forwards and Futures	Ch. 24 (forwards/futures only)
10.	Derivatives: Options	Ch. 24 (options only)
11.	Buffer Lecture/Exercises	
Online Test 2 posted by 23:00* on Friday, October 17th, 2025 (topics 7-10)		
PART 2: FINANCIAL INSTITUTIONS		
12.	Are Financial Markets Efficient?	Ch. 6
13.	Why Do Financial Institutions Exist?	Ch. 7
14.	Commercial Banking	Ch. 17
15.	Central Banking	Ch. 10 (until asset purchases)
16.	Mutual Funds	Ch. 20 (plus slides on ETF)
17.	Investment Banks	Ch. 22 (investment banks only)
18.	Risk Management in Financial Institutions	Ch. 23
Online Test 3 posted by 23:00* on Friday, November 21st, 2025 (topics 12-18)		
19.	Risk Management / Financial Regulation	Ch. 23 and 18
20.	Financial Regulation	Ch. 18
21.	The Theory of Financial Crises	Ch. 8
22.	Buffer Lecture/Exercises	
Online Test 4 posted by 23:00* on Friday, December 5th, 2025 (topics 19-21)		
23	TBD by Instructor	
24	Bank Regulation (provisional title)	Giorgio Gobbi (BoI)